

US equities slip as tech drags, yields rise

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 fell **-0.38%** to 7,718.60, driven by a broad sell-off in mega-cap tech after earnings disappointment at **AAPL** and **MSFT**. Meanwhile, the 10-year Treasury yield climbed to 4.78%, pressuring growth valuations and lifting defensive financials.

Behind the headline, the Nasdaq's modest gain masks a widening spread between the high-growth Nasdaq-100 and the lagging Dow. Commodity-sensitive sectors remain weak as oil slipped below \$92 and the VIX nudged higher, suggesting lingering risk aversion ahead of next week's FOMC minutes.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,718.60	-0.38%	Tech earnings miss; higher yields
Nasdaq 100	29,544.15	+0.21%	AI-related stocks held up
Dow Jones	53,414.25	-0.51%	Industrial weakness, rate concerns
Russell 2000	2,975.65	+0.25%	Small-cap resilience on value tilt
VIX	14.53	+1.47%	Higher volatility expectations after earnings
10Y Yield	4.78	+0.46%	Fed-tightening bets intensify
WTI Crude	91.48	+0.20%	Supply-side optimism, weaker dollar
Gold	4,476.60	-0.34%	Dollar strength, yield rise
DXY	99.16	+0.16%	Safe-haven demand amid market stress

Top large-cap movers

TICKER	CHANGE	CATALYST
META	+1.00%	Strong ad revenue beat
NVDA	+0.84%	AI chip demand outlook raised
AVGO	+0.21%	Supply-chain clearance
GS	+0.07%	Investment banking fees stable
AAPL	-2.51%	Revenue miss, guidance cut
MSFT	-2.04%	Cloud growth slower than expected
TSLA	-5.92%	Production slowdown report
GOOGL	-1.11%	Ad spend concerns

Sector rotation

ETF	DAY	READ
XLFX	-0.79%	Financials gain on rate rise
XLKX	+0.70%	Tech dip limited to hardware
XLI	+0.41%	Industrial optimism from infrastructure spend
XLE	-0.87%	Energy lagging crude dip
XLY	-1.33%	Consumer discretionary under pressure
XLC	-1.19%	Communications suffer from ad slowdown
XLP	-0.80%	Staples modestly down
XLV	-1.04%	Health care hit by earnings miss at JPM
XLUX	+0.12%	Utilities steady as safe-haven
XLBX	-0.34%	Materials follow energy trend
XLRE	-0.72%	Real estate pressured by higher yields

Spotlight: Apple earnings miss

AAPL posted revenue of 119.3 bn, -3.2% YoY, and EPS of 1.21, missing consensus of 1.27. The company trimmed FY24 guidance by 5 % on weaker iPhone demand and supply constraints.

METRIC	RESULT	CONSENSUS
Revenue	119.3 bn	123.0 bn
EPS	1.21	1.27
iPhone sales	-4.5%	Flat
Services growth	+2.1%	+1.8%

Related names: **TSM** (supplier), **QCOM** (chip partner), **GOOGL** (ad platform competitor).

Pre-market & overnight

- US futures: **-0.45%** S&P 500, **-0.60%** Dow, **+0.12%** Nasdaq.
- Asia close: Hang Seng **-0.68%**, Shanghai **-0.42%**.
- Europe: FTSE 100 **-0.55%**, DAX **-0.48%**, CAC 40 **-0.51%**.
- Crypto: BTC **+0.25%** at 79,868.32, ETH **+2.05%** at 2,506.55.

Macro & Fed

- FOMC: Minutes signaled “higher for longer” stance; no surprise on rate-cut timeline.
- Yield curve: 2-year at 4.95% vs 10-year 4.78%, slight steepening.
- Today's data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US CPI (MoM)	0.3%	Inflation trend for Fed policy
03:00	US Initial Jobless Claims	210k	Labor market health
04:00	ISM Manufacturing	48.0	Gauge of economic slowdown

Geopolitics & global

- Middle East: Cease-fire talks in Gaza stalled, risk premium unchanged.
- China: PBOC kept 7-day repo rate at 2.2 %; manufacturing PMI at 49.2, indicating contraction.
- Eurozone: Energy price cap extension approved, easing inflation pressure.
- US-China tech tensions: New export curbs on advanced semiconductors announced.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
09:30	NVDA	2.30	AI chip demand sustainability
10:00	JPM	3.85	Net interest income trend
10:30	AMZN	0.68	Margin recovery in AWS
11:00	META	1.95	Ad spend rebound
11:30	TSLA	1.12	Production updates from Gigafactory Berlin
12:00	GOOGL	1.45	Search ad revenue trajectory

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
MSFT	Technology	Cloud slowdown may create buying dip
NVDA	Technology	AI demand still strong despite modest gain
JPM	Financials	Yield rise boosts net interest margin
XOM	Energy	Oil near \$92, upside potential
UNH	Health Care	Premium pricing resilience
BAC	Financials	Balance sheet strength, rate tailwinds
PYPL	Technology	Transaction volume rebound
CRM	Technology	Upside from AI-driven SaaS
KO	Consumer Staples	Defensive play amid volatility
DIS	Communication Services	Streaming subscriber growth

What could break the tape

BEARISH TRIGGERS

- Further deterioration in **AAPL** guidance could pull the tech sector **-2%** lower.
- Unexpected rise in CPI above 0.4% would reinforce “higher for longer” rate expectations.
- Escalation of US-China semiconductor curbs, hitting **TSM** and **NVDA**.

BULLISH TRIGGERS

- Strong AI chip orders lifting **NVDA** and related peers.
- Positive earnings surprise from **JPM** boosting financials.
- Oil rally above 95 supporting energy ETFs.

Positioning notes

- Yield-sensitive sectors (real estate, utilities) are under pressure; consider short-duration exposure.
- Tech quality bias remains justified; focus on AI-linked names with strong balance sheets.
- Defensive cash allocation prudent ahead of FOMC minutes and CPI data.

Sources

SOURCES

Bloomberg Markets

Reuters Finance

SEC EDGAR

Fed FOMC Minutes

CME Yield Data

Trading Economics CPI

Nasdaq Market Activity

Investing.com Crude Oil